

Investment Credit Memorandum

Fairmont CLO 2025-1 | Apex Industrial Holdings | 24 February 2025

1. Recommendation

Credit committee is asked to approve a \$8,100,000 allocation of the Apex Industrial Holdings first-lien term loan into the Fairmont CLO 2025-1 warehouse, and to roll that position into the CLO at closing. The borrower is Apex Industrial Holdings, headquartered in Chicago. The financial sponsor is Lakeside Private Equity. Analyst: Diego Vargas. Committee chair: Robert Lang. Portfolio manager: Amina Solace, Beacon Hill Credit LLC.

Recommendation: Approve at a maximum par of \$8,100,000 (1.80% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Fairmont CLO 2025-1 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 6 March 2025.

2. Borrower and sponsor

Apex Industrial Holdings operates in Capital Equipment. The company is owned by Lakeside Private Equity. Neither the sponsor nor the borrower is affiliated with Beacon Hill Credit LLC.

Related book names in Fairmont CLO 2025-1 include Fairmont Circuit, Inc., Beacon Orthopedics. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Apex Industrial Holdings first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. East Pier Bank is the warehouse lender to Fairmont CLO 2025-1.

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4. Credit highlights and risks

Highlights: sponsor support from Lakeside Private Equity, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicalities in Capital Equipment and add-on acquisition risk. Diego Vargas confirmed that Moody's industry classification for Apex Industrial Holdings is 'Capital Equipment'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.80 of the 2.00 percentage-point largest-obligor covenant. Amina Solace confirmed the trade for Fairmont CLO 2025-1.

If Apex Industrial Holdings is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Fairmont CLO 2025-1 indenture. U.S. Bank Trust Company, N.A. would reflect that classification on the next monthly trustee report. Beacon Hill Credit LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Beacon Hill Credit LLC approved the \$8,100,000 purchase for the Fairmont CLO 2025-1 warehouse on 24 February 2025. Voting members: Robert Lang (chair), Amina Solace, and Diego Vargas. The trade will settle into the East Pier Bank warehouse and be conveyed to Fairmont CLO 2025-1, Ltd. on the closing date of 20 March 2025.